**CONVEX RESEARCH GROUP**
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**Morning Note**
**Wednesday, November 11, 2026**
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*Tone: Mixed*

**Core CPI landed on Waller's half point line, and equities are answering with CoreWeave instead of the Fed.** October CPI rose 0.4% m/m against a 0.3% consensus and core rose 0.3% against 0.2%, the third straight 0.3% core print, with no year over year figure published. That is the exact threshold Governor Waller set Tuesday morning for considering a 50bp hike in December, and CME FedWatch moved the odds of a half point move to 15.3% from 1.1% after the release, with a 25bp hike at 84.7%. The front end took the hit: the 2Y rose 17 to 18bp to about 4.74% and the 10Y 11bp to 4.99%, while 2s10s flattened 7bp to 25bp and 10Y breakevens fell 2bp to 2.20%. Dallas Fed President Logan added that the FOMC needs "at least two more" 25bp hikes. Stocks held up better than bonds: the S&P 500 fell 0.38% to 7,520.93 and the Nasdaq 100 0.60%, with Nvidia -5.47% on its board probe doing much of the damage. Overnight the AI trade is back in charge after CoreWeave beat on revenue and raised its full year outlook, with S&P futures +0.69% and Nasdaq futures +1.61% at 4:40 AM ET and the Stoxx 600 up 0.7% near its August record. The cash Treasury market is closed for Veterans Day, so equities trade today without a live read from bonds.

## OVERNIGHT MACRO

- **Asia:** Nikkei +1.31% to 61,248.52, with Kioxia +5.55%; SoftBank -0.44% after a $7 billion quarterly net loss. Kospi closed +2.6% at 5,375.36 with SK Hynix +5.36% and Samsung +3.44%; Korea's Nov 1 to 10 chip exports rose 331.2% y/y. Taiex +3.6% with TSMC +3.1% on October revenue. Hang Seng -0.7% to 24,387.06, Shanghai Composite +0.6% to 3,685.27, ASX 200 +0.3% to 9,153.20.
- **Europe:** Stoxx 600 +0.7% to 662.83 by 3:07 AM ET, near its August record, with tech +1.7%. Siemens Energy +6.5% on 2027 margin guidance and a plan to more than triple its dividend; Schneider Electric and Legrand about +2.6%. Vestas -6% on a Q3 operating profit miss; CSG -18% after cutting its margin forecast. Euro Stoxx 50 futures +0.8%.
- **FX:** Dollar index closed +0.58% at 102.24 on the CPI beat and was 102.29 in Asia. USD/JPY near 159.00 this morning from a 158.71 close; EUR/USD 1.1153 from 1.1167. Bitcoin closed -2.18% at $73,582, near an 11 week low.
- **Commodities:** Brent closed -0.55% at $92.06 after trading as low as $89.16, and is near $92.43 this morning; WTI near $86.64 from an $86.44 close. Qatar told G7 ministers it has secured at least two weeks for U.S. and Iran diplomacy, while the IRGC said a tanker hit a mine in Hormuz Tuesday. Gold closed -1.8% at $4,040.50 and is trading between $4,030 and $4,055 this morning.
- **U.S. Futures:** S&P 500 futures +0.69%, Nasdaq futures +1.61% and Dow futures flat at 4:40 AM ET. CoreWeave rose about 6% after hours from a $48.73 close. Tuesday close: S&P 500 -0.38% to 7,520.93, Nasdaq 100 -0.60% to 27,740.79, Dow -0.30% to 52,231.89, Russell 2000 -0.68% to 2,821.38, VIX -0.46 to 19.46.

## RATES & CREDIT SNAPSHOT

| Instrument | Level | Move | Note |
|---|---|---|---|
| 2Y Treasury | 4.56% | +5bp | Monday close (FRED). About 4.74% Tuesday, up 17 to 18bp on CPI. |
| 10Y Treasury | 4.88% | +2bp | Monday close (FRED). Closed Tuesday at 4.99%, +11bp. |
| 30Y Treasury | 5.26% | 0bp | Monday close (FRED). Down 34bp over the past month. |
| 2s10s | 25bp | -7bp | Tuesday print. Bear flattener led by the 2Y. |
| 10Y Breakeven | 2.20% | -2bp | Tuesday print, lower as hike pricing rose. |

Tuesday was a classic hawkish bear flattener: the 2Y rose 17 to 18bp to about 4.74% and the 10Y 11bp to 4.99%, taking 2s10s down 7bp to 25bp, from 32bp Monday. Breakevens fell 2bp to 2.20% on the same day, so the entire move came through real yields and policy expectations, not inflation compensation. Demand was soft at the margin, with the $42bn 10Y auction drawing

the weakest demand since early June. Rate vol finally caught up with the data, MOVE up 6.45 to 92.43, while VIX fell. Logan said Tuesday that the FOMC needs "at least two more" 25bp increases and that it may be possible to move more rapidly this winter, and Goolsbee called the CPI "bordering on disturbing". Cash Treasuries are closed today for Veterans Day, so the next price discovery comes Thursday with claims and a $25bn 30Y auction.

| Meeting | Current Range | Market-Implied | Note |
|---|---|---|---|
| FOMC, Dec 8 to 9 | 3.75 to 4.00% | About 85% 25bp hike, 15% 50bp | CME FedWatch after CPI: 50bp odds up from 1.1% to 15.3%. Reuters puts 50bp near 10%. |

**Credit:** IG OAS at 91bp, -2bp, and HY OAS at 334bp, -8bp (Monday close, FRED). HY has now retraced 14bp of the 16bp blowout from the Nov 5 AI rout. CoreWeave's results matter here as much as for equities: Q3 net interest expense rose to $846mn from $310mn, it guided Q4 interest to $1.05bn to $1.15bn, and it raised about $4.2bn of convertibles in the quarter, so the AI infrastructure funding pipeline is getting more expensive even as backlog grows.

## COMMODITIES & SECTOR TABLES

| Commodity | Level | Chg | Note |
|---|---|---|---|
| Brent Crude | $92.06/bbl | -0.55% | Tuesday close; low of $89.16, near $92.43 this morning |
| WTI Crude | $86.44/bbl | -0.47% | Tuesday close; near $86.64 this morning |
| Gold | $4,040.50/oz | -1.80% | Tuesday close; hit by real yields and a firmer dollar |
| Copper | $6.27/lb | -0.92% | Down 1.70% over the past week |
| Nat Gas | $3.29/MMBtu | +2.36% | Up 13.78% over the past week |

Tuesday split on rate sensitivity and Nvidia. Technology was the only sector down more than 1%, -1.15%, as Nvidia fell 5.47% to $168.89 and Microsoft 2.2%, though Broadcom rose 3.9% and AMD 1.3%. Financials led at +0.52%, with Energy +0.44%, Communication +0.37% and Health Care +0.29% also higher. Materials, Utilities, Real Estate and Industrials each slipped less than 0.2%. Overnight, CoreWeave's beat is pulling the AI hardware chain higher in Asia and Europe, and Siemens Energy's data center driven guidance extends that read to power equipment.

| Sector / Name | Chg | Read |
|---|---|---|
| Technology (XLK) | -1.15% | Worst sector; -4.31% over the past week |
| Financials (XLF) | +0.52% | Best sector Tuesday |
| Energy (XLE) | +0.44% | Brent recovered from below $90 |
| Communication (XLC) | +0.37% | +6.23% over the past week |
| Nvidia | -5.47% | $168.89; board probe of CEO Huang |
| Broadcom / AMD | +3.9% / +1.3% | Chips ex Nvidia held up |
| Microsoft | -2.2% | Megacap drag alongside Nvidia |
| CoreWeave (after hours) | About +6% | Q3 revenue $3.66bn, +168% y/y; FY guide raised to $13.0bn to $13.3bn |
| Siemens Energy (Europe) | +6.5% | 2027 margin guidance; dividend more than tripled |

## EQUITY SETUP

The open looks like an AI led rebound: Nasdaq futures +1.61% against S&P futures +0.69% and a flat Dow at 4:40 AM ET. CoreWeave gave the market what it needed after last week's funding scare, with Q3 revenue of $3.66bn, up 168% and above the

roughly $3.54bn estimate, backlog at about $132.5bn, full year revenue guidance raised to $13.0bn to $13.3bn and capex of $37bn to $39bn, and the read through shows up in SK Hynix +5.36%, TSMC +3.1% and Siemens Energy +6.5%. Nvidia remains the exception, down 5.5% Tuesday on the board probe, and it is the single largest weight in the index, so a strong open in the chain does not require a strong open in the index leader.

The harder question is valuation against a higher rate path. The 10Y closed at 4.99% and the 2Y near 4.74%, with no cash bond trading today to confirm or reverse the move, and the market now carries a 15.3% chance of 50bp in December. Higher real yields have already hit gold, -1.8%, and the long duration megacaps, Microsoft -2.2%. Equities can run on earnings today, but Thursday's claims and 30Y auction and Friday's PPI reopen the rates channel, and Anthropic's IPO, expected to trade next Thursday at about $1.4 trillion, will test how much AI paper the market can absorb at these yields.

## ONE THEME

**The bond market is pricing Fed credibility, not inflation.** Tuesday delivered a hot inflation print and inflation compensation fell. Core CPI rose 0.3% for a third month, the 2Y jumped 17 to 18bp and FedWatch put 15.3% on a 50bp December hike, yet 10Y breakevens dropped 2bp to 2.20% and 2s10s flattened 7bp to 25bp. That is the market telling the Fed it believes the hiking path: Logan wants at least two more 25bp moves and Waller has a 50bp option on the table, and the curve is pricing those hikes as effective enough to pull long run inflation expectations lower. The cost shows up in real yields, which is why gold fell 1.8% and the dollar rose 0.58% on a day oil barely moved. For equities, a flatter curve with falling breakevens is tolerable as long as earnings carry the multiple, which is exactly what CoreWeave did overnight. The risk is a PPI or claims print that pushes the front end toward pricing 50bp outright, at which point real yields start competing directly with AI growth multiples.

## EVENTS TO WATCH

- **All day Veterans Day:** Cash Treasury market closed; U.S. stock market open.
- **7:00 AM ET MBA Mortgage Applications:** Weekly; first housing read since the jump in yields.
- **Before the open:** D-Wave Quantum, Clear Secure, Cellebrite, Nomad Foods, Rackspace, Stratasys. E.ON, Infineon and Brenntag in Europe.
- **Also today:** ECB President Lagarde speaks; OPEC Monthly Oil Market Report.
- **Thu 8:30 AM ET Jobless Claims:** Fed Governor Barr 10:00 AM ET; $25bn 30Y auction; delayed EIA oil inventories. Cisco and Applied Materials after the close.
- **Fri 8:30 AM ET October PPI:** The next inflation test for 50bp pricing.
- **Next week:** Nvidia reports Nov 17; FOMC minutes Nov 18; Anthropic expected to begin trading Nov 19. FOMC decision Dec 9.
- **Key risks:** A hot PPI pushing December pricing toward 50bp and the 10Y through 5%. Nvidia's board probe widening as the stock trades 30% below its peak. A collapse of the Qatar mediated Iran window or more mine strikes in Hormuz lifting Brent back toward $100.